

Edition 7 · Tuesday, 18 August 2026 · **22 Days to Submission**

# Covered, but Not Costed

*The Regulations already wrote the contents page. Most estimates are shorter than it.*

## The Regulations already told you how to do this

Every Decommissioning and Abandonment Plan submitted by 9 September will carry a cost estimate. Most will be wrong in the same direction, and not because anyone priced a well badly.

They will be wrong because Regulation 5(13) contains a list, and the list is longer than most estimates are.

That subregulation sets out what a decommissioning programme must comprise. It is not guidance. It is the contents page of a compliant submission, written by the Commission, and it covers the facilities, the materials inside them, the removal and disposal routes, the environmental restoration, the schedule, the cost, and what happens after everyone leaves.

Read as a costing brief, which is what it is, it names five things every estimate must reach.

## The five

**The wells.** Not the wells drilled recently. The inventory. And the Regulations are specific that satellite wells, whether active, suspended or abandoned, linked to an installation by infrastructure, come into the application with their plug and abandonment details. On a mature onshore block that inventory runs to hundreds. It exists in the Field Development Plans and the Competent Person's Reports. An estimate built without it is an estimate of a smaller asset than the one being decommissioned.

**The facilities, and what is inside them.** Regulation 5(13)(e) is where most estimates quietly stop. It requires an inventory listing of the amount, type and relative location of all materials, and it names them: hydrocarbons, sludges, sacrificial anodes, and any radioactive material such as Low Specific Activity scale. Not the vessels. What is in the vessels. Each with its own handling, transport and disposal cost.

**The pipelines.** Lengths, diameters, construction, burial. Where a route is shared or third-party, an estimate that names it without stating whose decommissioning obligation it is has described a map rather than a liability.

**Restoration.** Regulation 5(13)(g) requires an environmental evaluation study or post impact assessment, and an environmental remediation and restoration plan, as part of the programme. It is the line most sensitive to what a site turns out to hold, and the one where terrain governs.

**And the phase after the last structure is gone.** Regulation 5(13)(m) requires a description of the post-decommissioning monitoring and maintenance phase. Regulation 15 then makes it concrete: a statement of measures for monitoring, maintenance and management of every abandoned well and the decommissioned site, and results of every post-completion monitoring survey submitted as each survey completes.

Note what Regulation 15(2) then does. After the last survey, any further work depends on the results of the monitoring surveys and must be agreed with the Commission. It sets no end date. The obligation runs on results, not on a calendar.

## The two instructions nobody follows

Inside the same subregulation are two requirements that, taken seriously, would change most of the estimates being drafted this month.

The first is 5(13)(j). The estimate must be of the cost of the proposed measures, must include details of the category of expenditures, must be based on best estimate, and must carry an indication of any potential deviations that may account for a difference in the final outcome at implementation.

Read that as the specification it is. Not a number. A categorised number, on a best-estimate basis, with its uncertainty stated on the page. An estimate that presents a single confident total, uncategorised and undeviated, has not merely been optimistic. It has not complied.

The second sits at the end of 5(13)(e), and it is the most quietly radical line in the instrument. Where exact quantities cannot be verified, **estimates shall be calculated**.

Silence is not an option the Regulations allow. If a sludge volume is unknown, you are required to estimate it and show the working, not to leave the line blank and let the total absorb the omission. The Commission has written into law the thing careful estimators do anyway: price what you can support, and reason openly about what you cannot.

## The line nobody prices

Which brings us to the pattern worth naming three weeks before the deadline.

Post-decommissioning monitoring appears in almost every decommissioning narrative and almost no cost table. The most widely used benchmarking reference in this industry, the UK North Sea Transition Authority's 2025 cost report, carries no monitoring category at all. A discipline that has costed everything else in detail for forty years has never assigned this line a number, because in older regimes monitoring was somebody else's problem, or nobody's.

Under S.I. 15 of 2026 it is the operator's problem, tied to survey results with no fixed end, with laboratories, survey crews and regulatory reporting attached. Priced honestly from its components, the inspection visits, the sampling and laboratory analysis, and the reporting obligations, a single site's monitoring is real money every year, and a realistic window multiplies it. Across a block with many sites, the unpriced monitoring line can rival the priced remediation one.

An estimate that describes monitoring and prices it at nothing has not omitted a detail. It has omitted a category the Regulations name twice.

## The honest estimate test

A submission-grade estimate can be recognised by one habit. It prices what it can support, and it names what it cannot, line by line, with the reason and the document that would close it.

That second list is not a weakness. It is the most useful page in the submission, because 5(13)(j) asks for the deviations anyway, and a named gap is a deviation with an address. "Well count not stated in the documents held; complete well list resides in the Competent Person's Reports and the Field Development Plans" tells a

reviewer exactly what would change the number. A total with no such list is a total that hid its guesses.

Three questions for any estimate on your desk this month.

Does the well line rest on the full inventory, including satellite wells linked by infrastructure, or on the wells the document happened to name?

Does every pipeline kilometre come with an answer to whose decommissioning obligation it is?

And does monitoring have a number, a duration, and a stated basis, or just a paragraph?

If any answer is no, the estimate is not conservative. It is incomplete, and incomplete in the direction that understates the Fund.

## **What to do with 22 days**

Pull the well count from the FDPs and the CPRs rather than from memory. Put a components-based number on monitoring, per site per year, against a stated window, and write the basis down where a reviewer can see it. Rule the pipeline ownership question in writing. Break the estimate by category, because 5(13)(j) requires it. And for every quantity that cannot be verified, calculate the estimate and show the reasoning, because the Regulations do not permit the blank.

One further date, while the calendar is open. Regulation 5(12) requires that an application to decommission and abandon all or part of an onshore oil field be made at least twelve months before the proposed commencement of the work. That is a separate clock from 9 September, and it starts running the moment a plan proposes a date.

The Commission can argue with a number. It cannot work with a silence.

## **Looking ahead**

Edition 8 turns to what happens after submission. Regulation 5(14) has the Commission monitoring implementation, 5(15) requires periodic reports and review meetings, and Regulation 14 governs what happens when an approved programme has to change. The difference between a plan that survives review and a plan that starts over.